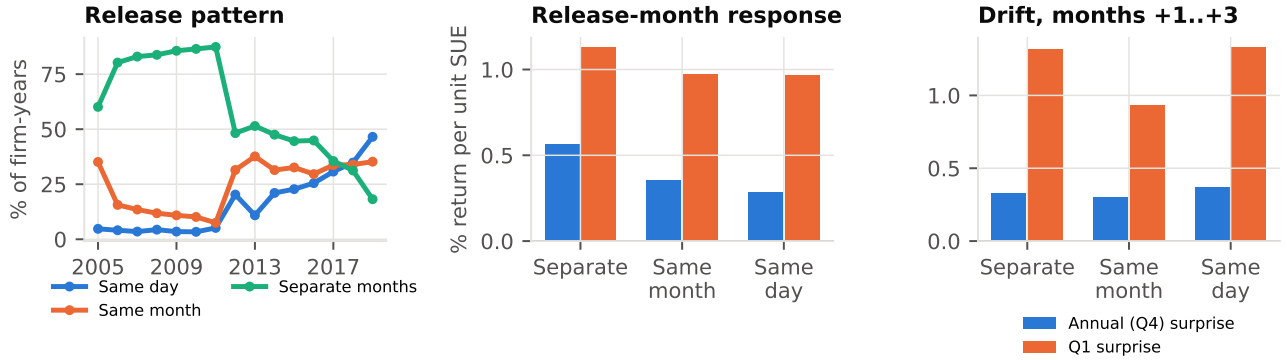
Idea 9 PoC — Bundled annual and Q1 reports

Proof of concept, October 2026. Code: `idea09_bundled_reports/run.py` *(argument:* `sue_xgb` *or* `sue_rw`*).*

Question and design

Chinese firms must publish the annual report and the Q1 report by 30 April, and a growing share publish both on the same day. When two earnings signals from the same firm arrive at once, do investors neglect one of them? This is a within-firm test of limited attention (Hirshleifer and Teoh, 2003; Hirshleifer, Lim and Teoh, 2009), cleaner than cross-firm clustering, which You and Zhang (2011) already study for China. The sample is 24,322 firm-years (FY2005–2019) in three classes: *same day* (4,977), *same month, different day* (6,621) and *separate months* (12,724). The tests regress the release-month size-adjusted return on the annual (fiscal Q4) and Q1 XGBoost surprises interacted with the class, controlling for the other surprise when it falls in the same month. Drift is measured over months +1 to +3 after the later release. All regressions have month fixed effects, with SEs clustered by month.



	Release-month response (% per unit SUE)			Difference to separate (t)	
	Separate	Same month	Same day	Same month	Same day
Annual (Q4) surprise, XGBoost	0.56	0.36	0.29	−0.21 (−1.7)	−0.28 (−3.1)
Q1 surprise, XGBoost	1.13	0.97	0.97	−0.16 (−0.6)	−0.16 (−0.7)
Annual (Q4) surprise, SRW	0.49	0.21	0.24	−0.28 (−2.5)	−0.25 (−3.4)
Drift of annual surprise, XGB / SRW	0.33 / 0.10	0.30 / 0.22	0.37 / 0.36		+0.04 / +0.26 (0.1 / 1.1)

Findings

- **When both reports arrive together, the market roughly halves its response to the annual surprise.** The annual-report ERC falls from 0.56 to 0.29 for same-day bundles ($t = -3.1$), and the result holds with SRW surprises ($t = -3.4$). The response to the Q1 surprise is unchanged. Investors attend to the newer signal and discount the older one.
- **The neglected part is not clearly recovered later.** The annual surprise drifts slightly more after bundles (SRW: 0.36 against 0.10), but not significantly. So the evidence fits either neglect or rational supersession, in which a fresh Q1 makes Q4 less relevant. Separating the two needs daily returns and longer windows.
- **Bundling is strategic and habitual.** Firms with a negative annual surprise are 3.7–5.3 pp more likely to bundle (year FE, $t \geq 5.6$). Bundlers earn lower subsequent returns (−0.95% over three months, $t = -2.1$). The choice is sticky: 59% of last year's bundlers bundle again, against 13% of others.
- **A trend worth explaining.** Same-day bundling rose from about 4% before 2011 to 49% in FY2020. The jump in 2012 should be checked against exchange calendars to rule out a dating artifact in the panel.

Assessment and next steps

This is the most promising Section C idea: a new, cleanly defined attention test with a strong first result and a built-in disclosure-strategy angle ("hiding" bad annual news behind Q1). Next steps: (i) daily returns from Eikon to measure announcement-window CARs and longer drift; (ii) validate the 2012 break with CNINFO filing timestamps; (iii) use exchange-scheduled disclosure dates as an instrument for bundling, to address selection; (iv) test whether analysts revise less on bundled annual surprises, which would link to Idea 1.